may pay bankers, in a country where rates for money are ruling high, to import gold at an apparent loss, 1
because of the high rates that they get for the credit that they are thereby enabled to give. They thus, in effect, borrow gold, and recoup themselves by being able to lend, on profitable terms, larger amounts than they borrow, since they can always create credit to larger amounts than that of the gold in their vaults. Sometimes, in fact, in times of pressure banks find themselves obliged to import gold so as to strengthen their position, whatever the loss on exchange may be." (p. 161-162) (Italics added) What Withers has pointed out is that movements of gold are so productive of changes in speculative markets resulting from changes in credit conditions, that there are some people engaged in moving gold from country to country solely for this reason, i.e., to take advantage of the market changes they know will occur as a result of the gold movements. Of course we should bear in mind that it isn't the gold standard as such that results in these abuses -- but rather our pyramiding of credit on gold. These disturbances would not occur if all countries had kept their paper money (notes and checks) fully representative of gold. Let us now consider some of the political consequences of this system of banking. One of the most significant political results of the international gold-credit system was the impetus it gave to various plans for internationalism. The proper functioning of the gold-credit mechanism requires that each country abide by "the rules of the game." The rules are simple enough: Expand credit when gold is flowing in; contract credit when gold is flowing out; and let these expansions and contractions of credit have their full effect upon prices and wages. However, everybody balks at playing according to the rules. We don't like to have prices and wages rising and falling just because certain individuals are moving gold into or out of our country. Nevertheless, our reluctance to abide by the rules is what causes the gold standard to break down completely. We then have an era of 'pegged' exchanges and controls that stifle the free movement of goods and services between countries. The logical solution to this problem, according to the gold-standardist, is to have closer cooperation between all countries -- closer cooperation on monetary matters, that is -- so that the game is played according to the rules by all participants. A powerful drive toward "internationalism" in one form or another is therefore a logical result of the gold-credit mechanism. Consider now what happens if one country decides that it would rather not play the game and would prefer to cut itself loose from gold altogether and stabilize its own internal economy once and for ail. From the standpoint of the citizens of that country, that would be a most worthwhile objective. But from the standpoint of those who wish to have their gigantic "confidence game" continued -- and we must, of necessity, include all those sincere people who can comprehend no other way of achieving international equilibrium -- the country that balks and tries to withdraw from the game must be brought into line. The result is constant friction between the countries concerned. More of this later. Now let us consider some of the internal political consequences of this system of banking. Naturally, those who understood it and were profiting thereby, made every effort to perpetuate the system. That was to be expected. They made full use of the press and the educational system itself to keep the public in ignorance of what was going on. They successfully convinced the public that booms and depressions were caused by a free enterprise system rather than the banking system. They successfully hushed up any man -- or his writings -- that showed the correct cause of the trouble. This does not mean that books condemning credit banking were not published. They were. But they didn't get used as textbooks in schools and universities. So naturally, generation after generation of people grew up in total ignorance of the vicious system they lived under -- wondering why there was so much injustice and why, if they were meant to be free, so much injustice seemed to result from freedom. For a more detailed analysis of the extent to which the history taught in English schools was deliberately distorted, I can highly recommend The Two Nations by Christopher Hollis. Today, of course, there are no "villains." At least we don't need to worry about them if there are. For the greatest amount of trouble today is caused by the many well-meaning, well-intentioned, and sincere people who have been born and raised, and educated, in such a way that they accept our system of credit banking as a normal, natural, and sound development. They accept our periodic depressions as being signs of "excesses" in business, poor management, or some other pet theory that magnifies out of all proportion some slight weakness that exists in a free enterprise economy. These people look upon the speculator in foreign exchange as a man who helps to maintain equilibrium by anticipating gold movements and thereby bringing about an